

10. Managing Bond Portfolio

Investment Management Process

□ Five steps

- i. setting investment objectives
- ii. establishing investment policy
- iii. selecting a portfolio strategy
- iv. selecting assets
- v. measuring and evaluating performance

1-2. two important decisions

□ 1. Setting Investment Objectives

- The *first step in the investment management process* is setting investment objectives.
- The investment objective will vary by type of financial institution.

□ 2. Establishing Investment Policy

- The *second step in investment management process* is establishing policy guidelines for meeting the investment objectives.

3. Selecting a portfolio strategy

- **Bond benchmark-based strategies**

- the Barclays Capital U.S. Aggregate Bond Index is most commonly used

- **Absolute return strategies**

- the portfolio manager seeks to earn a positive return over some time frame irrespective of market conditions.

- **Liability-driven strategies**

- As part of the immunization and cash flow matching strategies, low-risk active management strategies can be employed.

4. Selecting Assets

- requires an evaluation of individual securities.
- It is in this phase that the investment manager attempts to construct an efficient portfolio.
- An efficient portfolio is one that provides the greatest expected return for a given level of risk, or, equivalently, the lowest risk for a given expected return.

5. Measuring and Evaluating Performance

- **Interest-Rate Expectations Strategies**

- A money manager who believes that he or she can accurately forecast the future level of interest rates will alter the portfolio's sensitivity to interest-rate changes.

- **Yield Curve Strategies**

- *Yield curve strategies* involve positioning a portfolio to capitalize on expected changes in the shape of the Treasury yield curve.

5. Measuring and Evaluating Performance

❑ Yield Spread Strategies

- Yield spread strategies involve positioning a portfolio to capitalize on expected changes in yield spreads between sectors of the bond market.

❑ Individual Security Selection Strategies

- There are several active strategies that money managers pursue to identify mispriced securities
- A swap in which a money manager exchanges one bond for another bond that is similar in terms of coupon, maturity, and credit quality, but offers a higher yield, is called a *substitution swap*.